

at the point where he is putting any part of his income aside for additional investment. Millions of stockholders in the lower income brackets are handling their affairs so that each year they put something, no matter how little, aside for additional investment. If they are doing this and if, as is likely to be the case, they are paying income tax, it is a matter of elementary arithmetic that the board of directors would be acting against their interests by raising the dividend at a time when all these worthwhile opportunities are available for using retained company earnings. In contrast, the raised dividend might be to the interest of a big stockholder who had urgent need of additional funds, a contingency not entirely unknown to those in high tax brackets.

Let us see just why all this is so. Almost anyone having enough surplus funds to own common stocks will probably also have enough income to be in at least the lowest tax bracket. Therefore, once he has used up his individual dividend exemption of \$50, even the smallest stockholder will presumably have to pay as tax at least 20 per cent of any additional income he receives as dividends. In addition, he must pay a brokerage commission on any stock he buys. Because of odd lot charges, minimum commissions, etc., these costs run to a much larger percentage of the sums involved in small purchases than in large ones. This will bring the actual capital available for reinvestment well below 80 per cent of the amount received. If the shareholder is in a higher tax bracket, the percentage of a dividend increase which he can actually use for reinvestment becomes proportionately less.

There are, of course, certain special types of stockholders such as universities and pension funds that pay no income tax. There are also some individuals with dividend income less than the \$50 individual exemption, although the total number of shares owned by this group appears to be small. For these special groups the equation is somewhat different. However, for the great majority of all stockholders, regardless of size, there is no avoiding this one basic fact about dividends. If they are saving any part of their income rather than spending it and if they have their funds invested in the right sort of common stocks, they are better off when the managements of such companies reinvest increased earnings than they would be if these increased earnings were passed on to them as larger dividends which they would have to reinvest themselves.